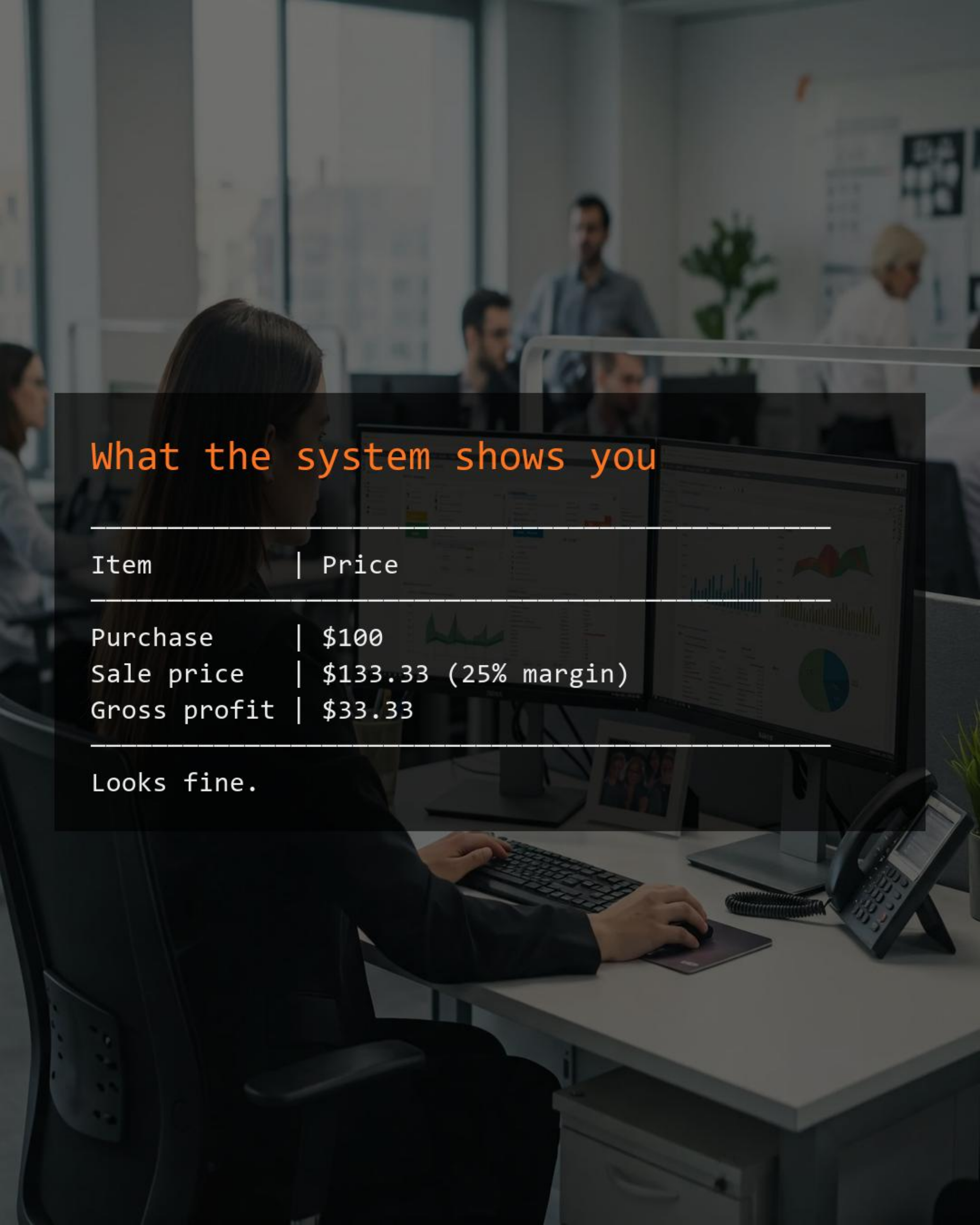
The Gross Margin Trap

Sell at 25% margin. The math says you're healthy.

It isn't 25%. It's 4.7%.



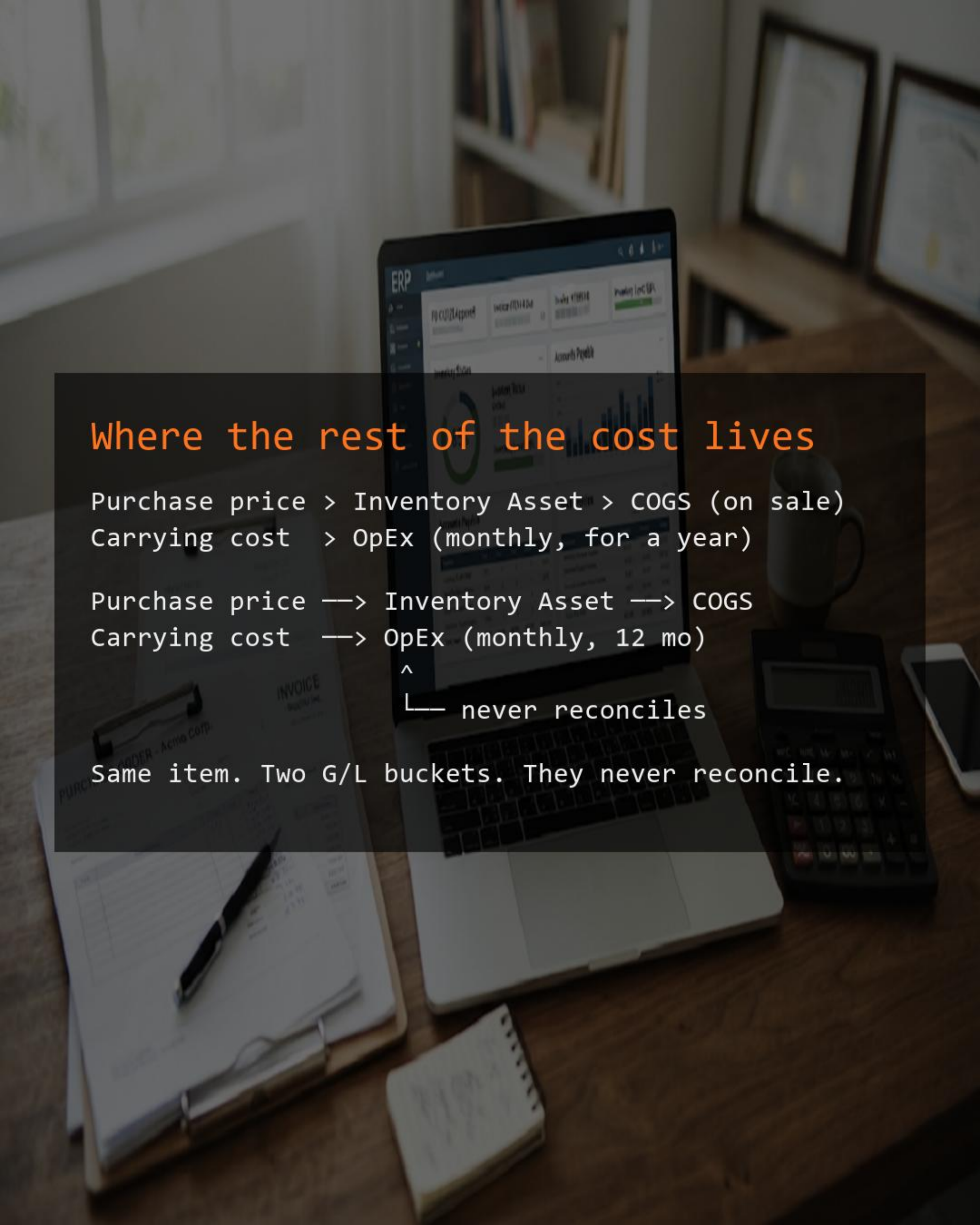
Here's why.



What the system shows you

Item	Price
Purchase	$100
Sale price	$133.33 (25% margin)
Gross profit	$33.33

Looks fine.



Where the rest of the cost lives

```
Purchase price > Inventory Asset > COGS (on sale)
Carrying cost  > OpEx (monthly, for a year)

Purchase price ──> Inventory Asset ──> COGS
Carrying cost  ──> OpEx (monthly, 12 mo)
                    ^
                    └── never reconciles
```

Same item. Two G/L buckets. They never reconcile.



The real number

Gross profit	$33.33
Carrying cost	-$27.00
Net profit	$ 6.33
Net margin	4.7%

Carrying cost isn't one line item

Storage & warehousing → OpEx
Cost of capital → Interest / Financing
Risk & obsolescence → OpEx

Storage & warehousing
Cost of capital
Risk & obsolescence



$27 doesn't come from one place. It comes from three. None of them touch the item's cost.

What to do about it

[ ] Top 20 items by value
[ ] Calculate carrying cost per item
[ ] Recalculate margin
[ ] Find the unprofitable ones

See how many are actually unprofitable at your current price.

I checked my work.

Yes, I checked my work in the examples.

Those who know me know I'm a dyslexic data engineer. To help others find mistakes, I write programs that generate corrupted data as tests for a living. The code swaps letters, flips cases, and hides characters in places you can't see.

Then I wrote a post about hidden costs.

So I checked it. Three times. With a spellchecker. With a calculator. And by reading it out loud.

Because "looks right" isn't the same as "is right." And I know that better than most.